

In Trump, China back and forth, an uncertain climate

Just a week after “Liberation Day” — when US President Donald Trump announced the most **sweeping tariff hikes** in recent history — he has announced a 90-day pause for most nations. Trump has, however, **stepped up** his attack on China, raising tariffs to a **staggering** 125 per cent. Markets initially welcomed the announcement, **rallying** in the hope that there is **space** for **negotiation**. The S&P 500 surged more than 8 per cent after the news, even though the 10 per cent base tariff remains **in effect**. On Thursday, markets **gave up** gains in early trading. The uncertainty is here to stay.

Trump has said that the **decision** to pull back **was** because some were getting “a little bit yippy, a little bit afraid”. But the immediate **trigger** for the reversal **may** be the threat from the bond market **vigilantes**. On April 9, the 10-year US treasury **yield** touched 4.51 per cent, up more than 50 **basis points** in a matter of a few days. The push back has been similar to what was seen in the UK under former prime minister Liz Truss — the market then had been **spooked** by the government’s tax proposals. Some may find comfort in the 90-day pause, believing that negotiations can be undertaken to avoid further action. But there are concerns. First, what will happen over the coming 90 days? Will Trump actively cut **deals with** all the countries that are willing to do so? Will he press for sweeping tariff reductions or will he also try to **extract** sector-specific and other **concessions**? Second, the tariff war with China is still on. **A trade war** between the world’s largest consumer and largest producer **is** likely to have **far-reaching ramifications**. It’s difficult to **predict** how this will **play out**. So far, China has refused to **buckle**. It has **vowed** to “fight to the end”, and has, in fact, **retaliated** in kind, announcing a tariff of 84 per cent on US imports. The question is whether the two countries can **figure out** a way to **de-escalate**.

The **manner** in which the US administration’s trade policy is **unfolding** **is** only raising the level of uncertainty in global markets. It will also raise a **legitimate** question in the minds of world leaders, businesses and households: What if the US administration changes its mind again? The global economy cannot function in a situation where the rules of the game are **arbitrarily** changed every day. The continuing **flip-flop** on tariffs will only add to the unpredictability, **holding back** both investment and consumption decisions of businesses and households. This will impact global trade and growth. The Indian administration’s **response** to this **stunning** reversal **should** not be one of **complacency**. It must press ahead with the **bilateral** trade deal.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’;

Vocabulary

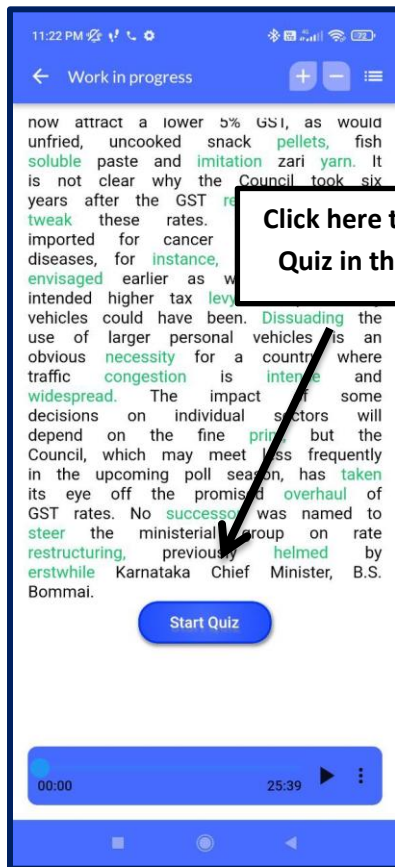
1. **Back and forth** (phrase) – to and fro, repeated changes, oscillation, fluctuation, vacillation आगे-पीछे
2. **Sweeping** (adjective) – extensive, wide-ranging, broad, comprehensive, massive व्यापक
3. **Tariff** (noun) – duty, tax, levy, import fee, customs charge आयात कर
4. **Hike** (noun) – increase, rise, escalation, surge, jump वृद्धि / इजाफ़ा
5. **Step up** (phrasal verb) – intensify, increase, escalate, boost, strengthen बढ़ाना
6. **Staggering** (adjective) – astonishing, overwhelming, shocking, massive, immense चौंका देने वाला
7. **Rally** (verb) – rebound, recover, surge, bounce back, improve वापसी करना / सुधार आना
8. **Space** (noun) – room, scope, opportunity, margin, leeway गुंजाइश
9. **Negotiation** (noun) – discussion, dialogue, bargaining, deal-making, deliberation बातचीत
10. **In effect** (phrase) – operational, active, valid, enforced, in force लागू
11. **Give up** (phrasal verb) – relinquish, forgo, abandon, surrender, drop छोड़ देना
12. **Trigger** (verb) – initiate, cause, provoke, spark, activate प्रारंभ करना
13. **Vigilante** (noun) – self-appointed enforcer, civilian patroller, unauthorized protector, activist न्याय दिलाने वाला नागरिक
14. **Yield** (noun) – return, earnings, interest, income, profit लाभ
15. **Basis point** (noun) – 100 basis point = 1%
16. **Spook** (verb) – scare, alarm, startle, unnerve, panic डराना / घबरा देना
17. **Deal with** (phrasal verb) – handle, manage, address, tackle, confront निपटना
18. **Extract** (verb) – obtain, draw out, derive, secure, squeeze out प्राप्त करना
19. **Concession** (noun) – compromise, allowance, reduction, adjustment, special provision रियायत
20. **Far-reaching** (adjective) – extensive, wide-ranging, deep, long-term, broad दूरगामी
21. **Ramification** (noun) – consequence, outcome, result, effect, implication प्रभाव
22. **Predict** (verb) – forecast, foresee, anticipate, estimate, project भविष्यवाणी करना
23. **Play out** (phrasal verb) – unfold, happen, occur, transpire, develop आगे घटित होना

24. **Buckle** (verb) – yield, collapse, give in, submit, surrender झुक जाना
25. **Vow** (to) (verb) – pledge, promise, swear, affirm, declare कसम खाना
26. **Retaliate** (verb) – respond, counterattack, fight back, get revenge, strike back बदला लेना
27. **Figure out** (phrasal verb) – understand, solve, decipher, determine, work out समझना / हल करना
28. **De-escalate** (verb) – reduce, diminish, ease, defuse, calm down तनाव कम करना
29. **Unfold** (verb) – develop, emerge, take shape, occur, open up प्रकट होना
30. **Legitimate** (adjective) – valid, justified, lawful, genuine, rightful वैध
31. **Arbitrarily** (adverb) – randomly, unpredictably, capriciously, inconsistently, without reason मनमाने ढंग से
32. **Flip-flop** (noun) – reversal, U-turn, change, inconsistency, shift अचानक बदलाव
33. **Hold back** (phrasal verb) – restrain, delay, deter, suppress, slow down रोकना
34. **Stunning** (adjective) – shocking, surprising, breathtaking, extraordinary, dramatic चौंकाने वाला
35. **Complacency** (noun) – self-satisfaction, contentment, inaction, smugness, overconfidence आत्मसंतोष
36. **Bilateral** (adjective) – two-sided, mutual, reciprocal, joint, involving two parties द्विपक्षीय

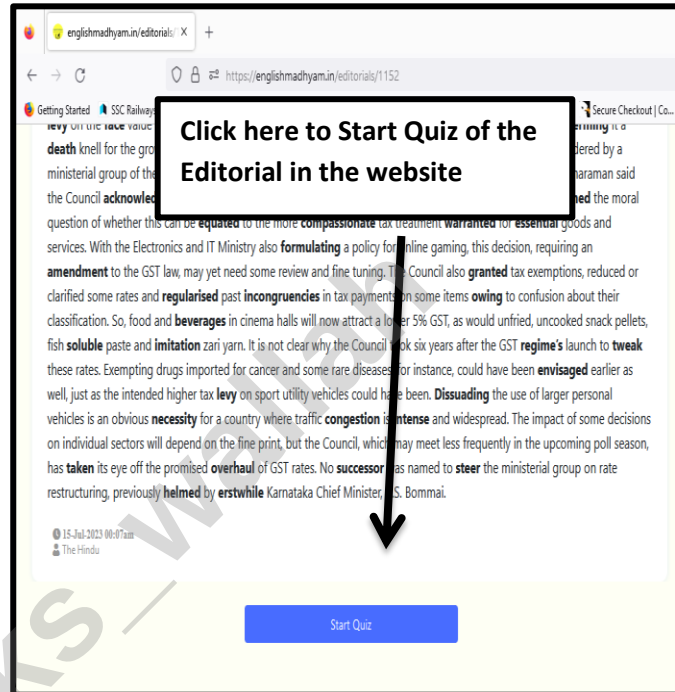
Summary of the Editorial

1. **Tariff escalation and reversal** – President Trump initially imposed steep tariff hikes but soon announced a 90-day pause for most nations.
2. **China targeted** – Despite the pause for others, tariffs on Chinese imports were sharply increased to 125%, intensifying tensions.
3. **Market reaction** – US markets surged initially, with the S&P 500 rising over 8%, reflecting hope for negotiations.
4. **Volatility returns** – Gains were short-lived; markets corrected soon after, signaling ongoing investor uncertainty.
5. **Reason behind reversal** – While Trump cited public fear, the real cause may be the bond market reaction, where yields surged sharply.
6. **Historical parallel** – The editorial compares the market response to that seen during UK PM Liz Truss's failed tax experiment.
7. **Pause not resolution** – The 90-day delay may be misread as progress, but key questions about negotiations and concessions remain.
8. **Uncertainty ahead** – It is unclear whether the US will genuinely seek mutual deals or push for sector-specific demands.
9. **China remains defiant** – China has retaliated with its own tariffs (84% on US goods), refusing to give in to pressure.
10. **Risk of prolonged trade war** – A prolonged standoff between the world's largest consumer (US) and producer (China) threatens global stability.
11. **High unpredictability** – The erratic nature of US trade policy is unsettling for global markets, governments, and investors.
12. **Policy flip-flops** – Sudden changes in US trade decisions damage credibility and hinder long-term planning.
13. **Global spillover effects** – The uncertainty discourages business investment and consumer spending, thereby hurting global trade.
14. **India's position** – The editorial warns India not to become complacent and urges continued efforts on bilateral trade deals.
15. **Call for global stability** – For the global economy to thrive, predictable and stable trade policies are essential; current volatility is unsustainable.

Practice Exercise: SSC Pattern Based



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